Reg.No: ……
Name: ……

MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-B.VOC (HONOURS) REGULAR EXAMINATION
THIRD SEMESTER
Skill Development Components (SDC)-MG3SDCAAT200-CORPORATE ACCOUNTING I
(2025 Admission Onwards)

Duration: 2 hours **Maximum Marks: 70**

Remember(R), Understand (U), Apply (A), Analyze (An), Evaluate (E), Create(C), Skills(S), Interest (I), and Appreciation (Ap)

PART A
VERY SHORT ANSWER
Answer any 10 Questions.
Each question carries 2 marks

1. What is forfeiture of shares? (U/CO1)
2. What is capital reserve? (U/CO1)
3. What is complete underwriting? (U/CO6)
4. Define a company. (R/CO1)
5. What is meant by provision? (U/CO3)
6. What is cum interest/ purchase? (U/CO4)
7. What is securities premium? (R/CO4)
8. What is meant by current assets? (U/CO1)
9. Write the format of investment account. (A/CO4)
10. What is meant by loss of profit policy? (U/CO5)
11. What kind of risk covered under fire policies? (U/CO5)
12. Define Investment. (R/CO4)

(10x2=20)

PART B
SHORT ANSWER
Answer any 5 Questions.
Each question carries 4 marks

13. Explain the difference between marked application and unmarked application. (U/CO6)
14. Explain the objectives of issuing bonus shares. (U/CO1)

15. What are the conditions for buy back of shares as per sec.68 (2) of the companies act, 2013? .

(U/CO1)

16. A company issued **5,000 equity shares of ₹10 each at par**, payable:

- ₹3 on application
- ₹3 on allotment
- ₹4 on final call.

A shareholder holding **500 shares** failed to pay the allotment and final call money. His shares were forfeited. These shares were later reissued at **₹8 per share as fully paid**
Pass journal entries for forfeiture and reissue. (AP/CO1)

17. A company issued **10,000 equity shares of ₹10 each at a premium of ₹2 per share**. The amount was payable:

- ₹3 on application
- ₹5 on allotment (including premium)
- ₹4 on first and final call

All amounts were received. Pass the necessary journal entries. . (AP/CO1)

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18. On 1 January 2026, a company purchased **1,000, 12% Government Bonds of ₹100 each at ₹105**. Interest is payable on **30 June and 31 December**.

On 1 August 2026, it purchased another **500 bonds at ₹102 cum-interest**.

On 1 November 2026, it sold **600 bonds at ₹108 ex-interest**.

Prepare the **Investment Account** for the year ended 31 December 2026. (AP/CO4)

19. A fire destroyed the stock of PQR Ltd. on 31 March 2026. The following information is available:

- Opening stock: ₹5,00,000
- Purchases: ₹18,00,000
- Sales up to date of fire: ₹20,00,000
- Gross profit: 25% of sales
- Salvaged stock: ₹1,50,000
- Insurance policy: ₹15,00,000

Calculate: Stock on the date of fire, Amount of stock lost Insurance claim, assuming the average clause applies. . (AP/CO5)

(4x5=20)

PART C
ESSAY

Answer any 2 Questions.
Each question carries 15 marks.

20. BC Ltd. suffered a fire on 31 December 2026. The following information is available:

- Opening stock: ₹15,00,000
- Purchases up to date of fire: ₹40,00,000
- Sales up to date of fire: ₹50,00,000
- Gross profit: 20% of sales
- Salvaged stock: ₹3,00,000
- Insurance policy: ₹45,00,000
- Average clause applies
- Insurance company admitted the claim after deducting ₹50,000 for an uninsured item.

Prepare the **Memorandum Trading Account**, calculate the **stock lost**, determine the **insurance claim**, and pass the necessary journal entries. (AP/CO5)

21. Write a short note on Memorandum Trading Account and what are the sources for preparing memorandum trading account. . (AP/CO5)

22 On 1 April 2025, an investor purchased ₹4, 00,000, 10% debentures at ₹96 cum-interest.

The following transactions took place:

- **1 July 2025:** Purchased ₹2, 00,000 at ₹98 ex-interest.
- **1 October 2025:** Sold ₹3, 00,000 at ₹100 cum-interest.
- **1 January 2026:** Purchased ₹1, 00,000 at ₹97 cum-interest.
- Brokerage on all purchases and sales is **1%**.
- Interest is payable on **30 June and 31 December**.

Prepare the **Investment Account** for the year ended 31 March 2026, showing **interest received and profit/loss on sale**. . (AP/CO4)

23. The following balances are extracted from the books of XYZ Ltd. on 31 March 2026:

- Equity Share Capital — ₹15,00,000
- Revenue from Operations — ₹30,00,000
- Purchases — ₹18,00,000
- Opening Stock — ₹4,00,000
- Salaries — ₹3,00,000
- Office Expenses — ₹1,00,000
- Selling Expenses — ₹80,000
- Plant — ₹10,00,000
- Furniture — ₹2,00,000
- Trade Receivables — ₹5,00,000
- Trade Payables — ₹3,00,000
- Cash — ₹2,00,000
- General Reserve — ₹2,00,000

Adjustments:

- Closing stock ₹5, 00,000.
- Salaries outstanding ₹30,000.
- Depreciation on Plant 10%.
- Depreciation on Furniture 5%.
- Provision for doubtful debts ₹20,000.
- Interest on loan outstanding ₹25,000.

Prepare the **Statement of Profit and Loss and Balance Sheet (AP/CO3)**

. (2x15=30)